PetroChina

Thoughts on the reported LNG Canada stake sale - monetising assets when LNG prices are high?

According to Bloomberg, PetroChina is reportedly considering selling part of its 15% stake in LNG Canada to help finance the project's planned Phase 2 expansion. The partial stake sale has not been confirmed by PetroChina. We believe some investor concerns of impairments caused PetroChina's slight underperformance versus other oil majors yesterday (PTR-H +1%, SNP-H/CNOOC-H +2%, HSI +2%). In our view, monetising LNG assets when LNG prices are high and S-D is tight makes sense, and the potential rationale for the selldown might be to recycle capital and reduce the capex burden for Phase 2. Petronas recently sold a 5% stake in LNG Canada for $3bn (media-reported), along with upstream gas assets. Given the current tight LNG market, we see potential for a more attractive valuation, and note that PetroChina's board in 2018 approved an equity investment of $3.46bn for its 15% stake. Overall, we view the newsflow as a neutral to positive for the stock, and note whether an impairment is recognised depends on valuation and the current book value of the asset. Our FY26 forecast already conservatively models in Rmb15bn impairment for FY26, in line with the historical trend (Figure 4).

- **About LNG Canada:** LNG Canada is a JV between Shell (40%), Petronas (20%), Mitsubishi (15%), PetroChina (15%), KOGAS (5%) and MidOcean Energy (5%). Phase 1 capacity is 14Mtpa, which began commissioning in 2Q25 and is expected to achieve full two-train capacity in 2H26. Phase 2 is a planned expansion project with another 14Mtpa capacity. Shell has guided for the FID to be achieved by the end of 2026, and the project is receiving significant government support to fast-track its development. Assuming an FID in 2H26, Phase 2 might come online in the early 2030s.
- **Monetizing LNG assets in a higher LNG price environment?** In 4Q25, Petronas sold a 5% stake in LNG Canada to MidOcean Energy. The deal also includes a 20% stake in Petronas' Canadian upstream assets that feed into LNG Canada. Reuters reported that the deal price was slightly above US$3bn. PetroChina also holds equity in upstream assets linked to LNG Canada, although with smaller reserves compared to Petronas. In 2018, PetroChina disclosed that the board had approved $335mn in pre-FID investment in LNG Canada, and $3.125bn in post-FID investment (total $3.46bn).
- **A selldown could reduce risk exposure to Phase 2:** LNG Canada has not disclosed or guided the official project cost. Woodmac estimates the project capex at CAD$26bn ($19.5bn or $1400/tpa) for Phase 1, and CAD$18.2bn ($13.65bn or $975/tpa) for Phase 2. The Phase 1 project was FIDed in 2018 and was originally scheduled to come online in 2024, but experienced some delays and started commissioning in 2Q25. Woodmac estimates that construction delays and cost overruns increased Phase 1 capex by 30% to CAD$26bn.

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap ($ mn)	Price CCY	Price	Rating Cur	Rating Prev	Price Target Cur	Price Target End Date	Price Target Prev	Price Target End Date
PetroChina - H	857 HK	231,788	HKD	9.93	OW	n/c	13.50	Dec-26	n/c	n/c
PetroChina - A	601857 CH	294,402	CNY	10.89	OW	n/c	15.50	Dec-26	n/c	n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 29 Jul 26.

See page 14 for analyst certification and important disclosures, including non-US analyst disclosures.

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- **Shell and Mitsubishi are also reportedly considering a selldown:** In Jan 2026, Reuters reported that Shell and Mitsubishi are also considering selling down their stakes. Of which, Shell might be looking to sell up to a 30% stake (out of a total of 40%), and considering different options for its stake in Phase 1 vs. Phase 2. During its earnings call in May, Shell clarified that the selldown being considered relates to the midstream assets, as the company wants to reallocate the capital elsewhere while keeping exposure to the entire value chain.
- **Strategic advantages of LNG Canada:** Shell views LNG Canada as a cornerstone of its LNG growth strategy, citing several competitive moats for the project: (1) proximity to Asia - the facility is roughly 10 days shipping time from Asian markets, which is less than half the transit time required for shipments originating from the Gulf of Mexico, (2) feedstock advantage - feedgas for LNG Canada is indexed to AECO, which typically trades at a discount to Henry Hub, (3) supply diversification - amid geopolitical volatility in the Middle East and Qatar LNG disruptions, Shell noted that LNG buyers are looking for diversified supply and Canada is top of their list.
- **2Q earnings review**: We expect PetroChina to report strong 2Q NP of Rmb58bn (+20% q/q, +56% y/y), with 1H26 NP of Rmb106bn a new record high. While investors have been concerned about refining losses, we note that PetroChina is 60-70% self-sufficient in crude oil, with another ~20% imported via pipelines from Russia. As such, we forecast PetroChina's refining OP to remain positive in 2Q, versus a loss for Sinopec. We also forecast LNG imports turning to profit in 2Q, given PetroChina's domestic market share gain (JPMe 1H26 gas sales +1% y/y vs China gas demand -2.4% y/y), best-in-class gas cost management and recovering Chinese gas demand since May.

Figure 1: Recent LNG M&A transactions

Asset	Seller	Acquirer	Date announced	Deal value	Book value / Initial purchase price	Status	Note
10.67% of Browse gas fields in Australia	Petrochina	Woodside	6/12/2026	$225mn + reimbursement of capex made since 30 Jun 2025 + $175mn contingent on FID before 30 Jun 2032	Petrochina acquired the stake in 2012.	Offer reported by Woodside, deal pending	Deal pending
20% of Petronas' Canadian upstream assets and 5% of LNG Canada	Petronas	MidOcean Energy	9/30/2025	$3bn (media-reported)	n.a.	Deal closed	The upstream assets include 53 Tcf of reserves and contingent resources, 20% of which = 10.6 Tcf
40% of Louisiana LNG Infrastructure LLC*	Woodside	Stonepeak	4/5/2025	75% of the project capex in 2025-26, amounting to $5.7bn	Woodside acquired the project (previously known as	Deal closed	*Covers the LNG plant and export terminal only (i.e. Stonepeak gets 40% of the liquefaction fee). Does not include LNG offtake.
10% of Louisiana LNG** and 80% in Driftwood Pipeline LLC	Woodside	Williams	10/23/2025	$250mn	Driftwood LNG) for an implied enterprise value of $1.2bn in 4Q24	Deal closed	**This is the holdco. Williams gets 6% effective stake in the LNG plant / export terminal and 10% of the offtake volume (1.6Mtpa).

Source: Reuters, Company reports, J.P. Morgan Asia Energy Research.

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Figure 2: PetroChina quarterly summary

Financials (Rmb mn)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e	2022	2023	2024	2025	2026e	2027e	2028e
Net sales	**753,108**	**696,991**	**719,157**	**695,213**	**736,383**	**716,437**	**1,052,757**	**1,052,757**	**3,239,167**	**3,011,012**	**2,937,981**	**2,864,469**	**3,558,333**	**3,339,171**	**3,264,953**
OP	**65,975**	**51,058**	**58,020**	**44,190**	**66,601**	**78,441**	**68,121**	**53,216**	**216,660**	**235,466**	**233,954**	**219,241**	**266,380**	**276,810**	**297,745**
Oil, Gas & New Energies	46,888	38,798	39,417	10,962	41,045	63,993	47,042	13,043	165,748	148,695	159,745	136,065	165,123	168,278	183,016
Refining, Chemicals & New Materials	5,388	5,668	5,184	8,009	8,283	5,029	5,010	6,859	40,570	36,936	21,386	24,247	25,182	27,712	30,065
Refining	4,551	5,111	4,791	7,251	7,176	4,690	3,987	5,836	41,168	36,252	18,230	21,704	21,689	22,433	22,756
Chemicals & New Materials	837	555	393	758	1,107	339	1,023	1,023	(598)	684	3,156	2,543	3,492	5,279	7,310
Marketing	5,043	2,519	4,064	5,921	6,470	2,578	3,966	3,966	14,374	23,962	16,494	17,547	16,980	17,242	17,546
Natural Gas Sales	13,508	5,118	12,653	29,523	18,867	7,841	17,281	34,526	12,957	43,044	54,010	60,802	78,515	82,998	86,538
Imported gas/LNG	(1,840)	(960)	(290)	(1,390)	(620)	552	276	335	(23,000)	(13,000)	(10,000)	(4,480)	544	1,128	575
Other	15,348	6,078	12,943	30,913	19,487	7,289	17,004	34,191	35,957	56,044	64,010	65,282	77,971	81,870	85,963
Corporate and Other	(4,852)	(1,045)	(3,298)	(10,225)	(8,064)	(1,000)	(5,178)	(5,178)	(16,989)	(17,171)	(17,681)	(19,420)	(19,420)	(19,420)	(19,420)
OPM%	**8.8%**	**7.3%**	**8.1%**	**6.4%**	**9.0%**	**10.9%**	**6.5%**	**-19.0%**	**6.7%**	**7.8%**	**8.0%**	**7.7%**	**7.5%**	**8.3%**	**9.1%**
Exploration and production	129.2%	126.5%	127.0%	29.6%	146.6%	182.9%	94.2%	26.1%	109.5%	102.7%	103.2%	100.8%	101.4%	109.7%	121.4%
Refining and chemicals	6.4%	7.0%	6.4%	10.0%	9.6%	6.3%	4.6%	6.3%	12.0%	11.0%	6.2%	7.4%	6.6%	7.4%	8.1%
Marketing	1.1%	0.5%	0.8%	1.4%	1.4%	0.5%	0.5%	0.5%	0.6%	1.2%	0.9%	1.0%	0.7%	0.8%	0.8%
Natural Gas Sales	7.9%	4.2%	10.0%	18.5%	11.2%	6.2%	11.4%	22.8%	2.6%	8.1%	9.7%	10.5%	13.2%	13.3%	13.3%
NP to shareholders	**46,809**	**37,198**	**42,287**	**31,024**	**48,333**	**58,047**	**47,685**	**31,862**	**149,380**	**161,146**	**164,684**	**157,318**	**185,926**	**195,225**	**211,235**
EPS (Rmb)	0.26	0.20	0.23	0.17	0.26	0.32	0.26	0.17	0.82	0.88	0.90	0.86	1.02	1.07	1.15
DPS (Rmb)		0.22		0.25		0.26		0.30	0.42	0.44	0.47	0.47	0.56	0.59	0.63
Payout ratio		48%		55%		45%		55%	52%	50%	52%	55%	55%	55%	55%
# of share (mn)	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021	183,021
y/y growth (%)															
Revenue	-5%	-9%	-4%	-2%	-4%	6%	39%	49%	27%	-3%	-1%	-5%	22%	-6%	-2%
OP	2%	-15%	-8%	-4%	1%	54%	17%	20%	34%	9%	-1%	-6%	22%	4%	8%
NP	2%	-13%	-4%	-4%	3%	56%	13%	3%	62%	8%	2%	-4%	18%	5%	8%
Consensus													26y	27y	28y
Revenue	753,108	696,991	719,157	925,681	736,383	820,219	820,219	820,219	3,245,596	3,115,798	3,038,083	3,094,937	3,197,040	3,100,583	3,096,600
OP	65,975	51,058	58,020	54,635	66,601	69,246	69,246	69,246	230,768	245,790	246,969	229,688	274,340	250,726	255,328
NP	46,809	37,198	42,287	31,236	48,333	46,096	46,096	46,096	147,319	162,754	167,673	157,530	186,622	178,273	184,059
EPS									0.80	0.90	0.92	0.87	1.02	0.95	1.01
DPS (CNY)		0.22		0.22		0.27		0.27	0.36	0.45	0.45	0.44	0.54	0.50	0.54
Commodities	**1Q25**	**2Q25**	**3Q25**	**4Q25**	**1Q26**	**2Q26e**	**3Q26e**	**4Q26e**							
Gas import qty (Bcm)	26.7	26.7	26.5	28.4	25.9	27.6	27.6	27.6	86.0	92.9	101.9	108.3	108.8	112.8	114.9
Gas import OP (Rmb/m3)	**(0.07)**	**(0.04)**	**(0.01)**	**(0.05)**	**(0.02)**	**0.02**	**0.01**	**0.01**	**(0.27)**	**(0.14)**	**(0.10)**	**(0.04)**	**0.01**	**0.01**	**0.01**
Domestic gas sales (Bcm, restated include	71.3	49.9	51.1	75.2	73.8	48.6	56.7	80.8	207.1	219.8	234.3	247.5	259.9	272.9	286.5
Domestic gas sales OP (Rmb/m3)	**0.22**	**0.12**	**0.25**	**0.41**	**0.26**	**0.15**	**0.30**	**0.42**	**0.04**	**0.26**	**0.27**	**0.26**	**0.30**	**0.30**	**0.30**
Domestic gas ASP (Rmb/m3)	2.30	2.21	2.19	2.17	2.20	2.20			2.15	2.21	2.24	2.22	2.26	2.27	2.28
Reported Gas OP (Rmb/m3)	**0.189**	**0.10**	**0.25**	**0.39**	**0.26**	**0.16**	**0.30**	**0.43**	**0.06**	**0.20**	**0.23**	**0.25**	**0.30**	**0.30**	**0.30**
Key operational data															
Oil & gas production (kboed)	5,189	5,018	4,930	5,051	5,224	5,065			4,617	4,820	4,911	5,046	5,077	5,240	5,403
Total gas production (Bcm)	38.5	37.4	36.6	39.2	39.5				132.4	139.7	145.4	151.9	154.9	162.7	170.8
Refining throughput (kbd)	3,748	3,923	3,764	3,645	3,811	3,788			3,322	3,832	3,766	3,770	3,773	3,817	3,862
E&P OP per boe (Gross, $/boe)	13.8	11.8	12.1	3.3	12.6	20.4	15.0	4.2	14.6	11.9	12.3	10.3	12.7	12.6	13.2
Reported lifting cost ($/boe)	9.8	10.5	12.1	15.8	9.8	10.5			12.4	12.0	12.1	12.0			
Domestic gas sales volume (Bcm)	69.9	49.9	51.1	76.6	73.8	46.8			207.1	219.8	234.3	247.5	259.9	272.9	286.5
Refining OP ($/bbl)	1.9	2.0	1.9	3.1	3.0	2.0	1.7	2.5	5.0	3.7	1.8	2.2	2.3	2.3	2.3

Source: Company reports and J.P. Morgan estimates.

Figure 3: China Energy 2Q26 earnings preview

Numbers in blue denote actual preliminary results

		Net Profit (Rmb bn)				DPS (Rmb/shr)			JPM Comments
Company	**Results briefing**	**1Q26A**	**JPMe 2Q26**	**% q/q**	**% y/y**	**JPM 1H DPS**	**Payout ratio**	**Yield (H-share, annualized)**	
Petrochina	31-Aug	48.3	58.0	20%	56%	0.26	45%	6.1%	2Q oil ASP rises to ~$90/bbl, domestic gas price/volume outperform market, all divisions profit
CNOOC	26-27 Aug	39.1	45.0	45%	72%	0.91	45%	9.0%	Improved 2Q ASP, watch for comments on FY26 production vol (Guide: 800mb, JPMe 820mb)
Sinopec	24-Aug	17.0	5.4	-68%	-45%	0.09	50%	4.9%	Upstream offsets big refining losses, potential Unipec trading loss due to Middle East conflict
Rongsheng		2.8	2.2-2.4	-15% to -22%	>150x				Watch for comments on potential SABIC acquisition of 50% of Rongsheng New Material
Hengli		3.9	3.3	-16%	229%				Robust 2Q results despite weak domestic margin and volume impact (US sanctions)
Wanhua		3.7	6.1-6.7	65%-81%	101%-120%				1H 56%-59% of FY cons; strong ECC and potential improvement in PDH margins

Source: Company reports and J.P. Morgan estimates.

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Figure 4: China oil majors historical impairments

Impairments (Rmb mn)	FY20	FY21	FY22	FY23	FY24	FY25
CNOOC	**(6,697)**	**(7,923)**	**(568)**	**(3,597)**	**(8,076)**	**(3,818)**
PP&E	(6,697)	(7,923)	(568)	(3,374)	(2,850)	(2,059)
Other				(223)	(5,226)	(1,759)
PetroChina	**(15,367)**	**(26,471)**	**(22,395)**	**(22,278)**	**(11,777)**	**(10,098)**
By segment:						
E&P	(15,364)	(20,218)	(17,090)	(21,793)	(9,214)	(8,720)
Refining and chemicals	-	(4,681)	(3,394)	(32)	(1,378)	(636)
Marketing	(3)	(1,396)	(1,231)	(85)	(225)	(32)
Natural gas and pipeline	-	(176)	(680)	(368)	(960)	(710)
Head office and other	-	-	-	-	-	
Sinopec	**(14,560)**	**(10,035)**	**(5,669)**	**(2,636)**	**(2,412)**	**(8,587)**
By segment:						
E&P	(8,495)	(2,467)	(2,891)	(887)	(211)	(1,229)
Refining	(1,923)	(860)	(2)	(191)	(230)	(525)
Marketing & distribution	(536)	(1,211)	(415)	(278)	(424)	(177)
Chemicals	(3,606)	(5,332)	(1,790)	(1,280)	(1,547)	(5,651)
Corporate and others	-	(165)	(571)	-	-	(1,005)

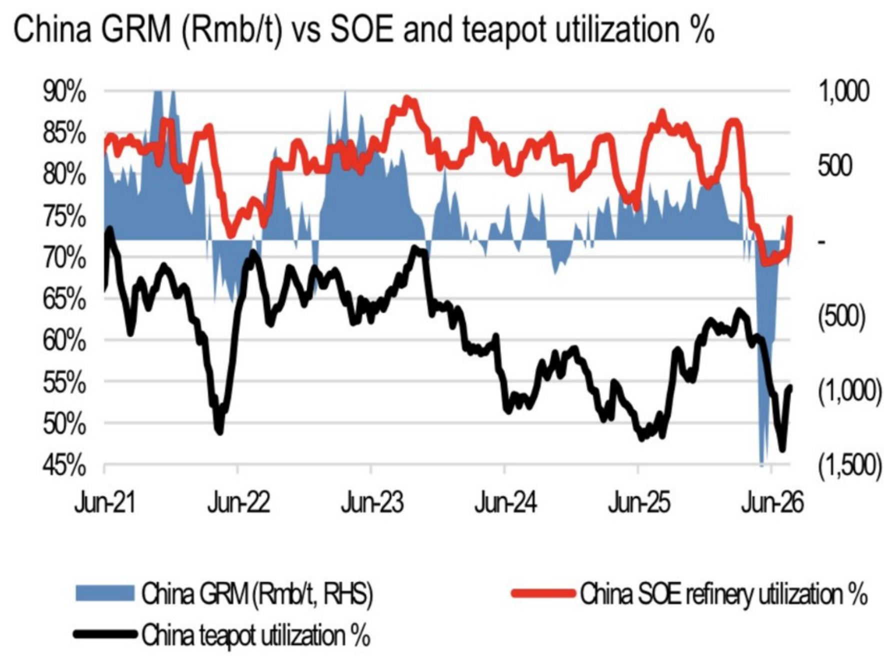
Source: Company reports.

Figure 5: China monthly gas S-D

	Demand				Supply										
	NDRC reported demand	Apparent demand	NDRC reported demand	Apparent demand	Total supply	Domestic production	Pipeline gas imports	LNG imports	Total supply	Domestic production	Pipeline gas imports	LNG imports	Domestic production	Imported pipe gas	Imported LNG
	Bcm	Bcm	% y/y	% y/y	Bcm	Bcm	Bcm	Bcm	% y/y	% y/y	% y/y	% y/y	% mix	% mix	% mix
Jan-26	34.7	38.1	-0.9%	4.5%	38.1	22.3	6.6	9.2	5%	3%	2%	10%	58%	17%	24%
Feb-26	34.7	34.1		-2.1%	34.1	22.3	6.5	5.3	-2%	3%	-7%	-15%	65%	19%	16%
Mar-26	34.1	34.7	-4.8%	-1.8%	34.7	23.4	5.8	5.4	-2%	3%	1%	-21%	67%	17%	16%
Apr-26	33.7	33.5	-3.0%	-3.7%	33.5	21.9	6.7	4.9	-4%	2%	-3%	-24%	65%	20%	15%
May-26	35.0	35.6	-4.0%	-1.3%	35.6	21.7	7.2	6.7	-1%	-2%	0%	0%	61%	20%	19%
Jun-26	34.7	36.5	-1.1%	2.2%	36.5	21.4	7.3	7.8	2%	1%	0%	7%	59%	20%	21%
Annualized															
2020	324.0	330.6	5.0%	7.9%	330.6	190.0	47.8	92.9	7.9%	9.8%	-4.7%	11.6%	57%	14%	28%
2021	372.6	373.8	12.7%	13.0%	373.8	204.9	58.5	110.3	13.0%	7.9%	22.5%	18.8%	55%	16%	30%
2022	366.3	369.1	-1.7%	-1.2%	369.1	217.8	63.2	88.1	-1.2%	6.3%	8.0%	-20.2%	59%	17%	24%
2023	394.5	397.0	7.6%	7.6%	397.0	230.7	67.2	99.1	7.6%	5.9%	6.2%	12.6%	58%	17%	25%
2024	426.1	429.1	8.0%	8.1%	429.1	246.3	76.0	106.8	8.1%	6.8%	13.1%	7.7%	57%	18%	25%
2025	426.6	439.0	0.1%	2.3%	439.0	261.7	82.0	95.3	2.3%	6.3%	8.0%	-10.8%	60%	19%	22%
2026	**416.3**	**437.6**	**-2.4%**	**-0.3%**	**437.6**	**266.2**	**81.1**	**89.7**	**-0.3%**	**1.7%**	**-1.1%**	**-5.9%**	**61%**	**19%**	**20%**

Source: NDRC, China Customs, NBS, J.P. Morgan.

Figure 6: China GRM vs. SOE/Teapot utilization %



Source: Oilchem, NBS, Wind, J.P. Morgan Asia Energy Research.

Overweight

0857.HK, 857 HK
Price (29 Jul 26):HK$9.93

Price Target (Dec-26):HK$13.50

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Key Changes (FYE Dec)

	Prev	Cur	Δ

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	19	13	12	14	11
Growth	92	89	91	80	23
Momentum	20	38	40	3	8
Quality	61	51	64	63	88
Low Vol	32	26	31	23	34
ESGQ	6	5	86	17	22

PetroChina - H

Model Update

We make minor adjustments to our quarterly estimates. Our full-year estimates are broadly unchanged.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	18.5%	13.0%	-17.1%	31.9%
Rel	21.8%	-0.4%	-15.0%	37.6%

Company Data

Shares O/S (mn)	183,021
52-week range (HK$)	12.22-6.99
Market cap ($ mn)	231,788
Exchange rate	7.84
Free float (%)	98.6%
3M ADV (mn)	113.05
3M ADV ($ mn)	148.4
Volatility (90 Day)	35
Index	HSCEI
BBG ANR (Buy | Hold | Sell)	19|0|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	2,864,469	3,558,333	3,339,171	3,264,953
Adj. EBITDA	467,366	512,565	534,898	562,720
Adj. EBIT	219,241	266,380	276,810	297,745
Adj. net income	157,318	185,926	195,225	211,235
Adj. EPS	0.86	1.02	1.07	1.15
BBG EPS	0.87	1.03	0.98	1.03
Cashflow from operations	412,510	436,698	449,748	470,038
FCFF	150,880	164,861	177,977	205,038
Margins and Growth				
Revenue Growth Y/Y (%)	(2.5%)	24.2%	(6.2%)	(2.2%)
EBITDA margin	16.3%	14.4%	16.0%	17.2%
EBITDA Growth Y/Y (%)	(2.1%)	9.7%	4.4%	5.2%
EBIT margin	7.7%	7.5%	8.3%	9.1%
Net margin	5.5%	5.2%	5.8%	6.5%
Adj. EPS growth	(4.5%)	18.2%	5.0%	8.2%
Ratios				
Adj. tax rate	23.9%	23.9%	23.9%	23.9%
Interest cover	47.7	51.6	73.4	102.3
Net debt/Equity	0.0	0.0	0.0	NM
Net debt/EBITDA	0.0	0.1	0.0	NM
ROCE	9.4%	11.3%	11.8%	12.4%
ROE	10.1%	12.0%	12.5%	12.9%
Valuation				
FCFF yield	9.6%	10.5%	11.3%	13.1%
Dividend yield	5.5%	6.5%	6.8%	7.4%
EV/Revenue	0.7	0.5	0.6	0.5
EV/EBITDA	4.0	3.7	3.5	3.2
Adj. P/E	10.0	8.4	8.0	7.4

Summary Investment Thesis and Valuation

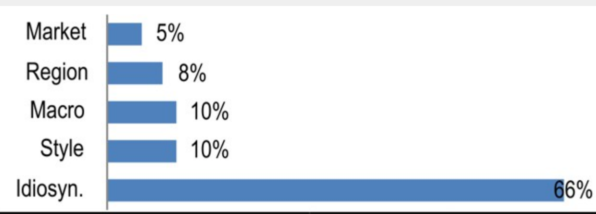
Investment Thesis

Over the past two decades, PetroChina's ROE has de-rated from ~20% in 2006-2008, to ~11% in 2023, despite a similar oil price environment. The ROE and share price de-rating has been driven by: 1) the introduction of unfavourable domestic tax policies, 2) a cap on domestic gas prices, resulting in large gas import losses, and 3) ineffective upstream cost control. However, PetroChina's new management team since 2020 has demonstrated a strong focus on shareholder returns and cost control/efficiency enhancement, which we expect should help the company deliver an improvement in ROE over the next 5-10 years. As China increasingly moves towards a market-based gas pricing mechanism, we expect China gas prices to rise and eventually converge with international LNG prices, which we believe will help ease PetroChina's cost burden. Amid the escalation of Middle East conflict, PetroChina stands to benefit from lower piped gas import costs (lagged 9 months vs oil), and considering we estimate it is sitting on one of the world's largest gas stockpiles, it might be able to strengthen 2026 gas domestic gas margins while also benefiting from higher oil prices.

Valuation

Our PT is based on SOTP: We use a DCF approach for PetroChina's upstream business and apply a 0.6x P/B to its refining, chems and marketing business. The natural gas division is valued at 1.2x P/B.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.38	-0.24
Region: China	0.12	0.24
Macro:		
Markit EM Composite PMI SA	0.31	0.23
US 10 Year Yield	0.37	0.21
Citi Economic Surprise - EM	0.24	0.19
Quant Styles:		
Value	0.27	0.27
DivYld	0.20	0.23
Size	0.32	0.18

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

PetroChina - H *(Overweight; Price Target: HK$13.50)*

Investment Thesis

Over the past two decades, PetroChina's ROE has de-rated from ~20% in 2006-2008, to ~11% in 2023, despite a similar oil price environment. The ROE and share price de-rating has been driven by: 1) the introduction of unfavourable domestic tax policies, 2) a cap on domestic gas prices, resulting in large gas import losses, and 3) ineffective upstream cost control. However, PetroChina's new management team since 2020 has demonstrated a strong focus on shareholder returns and cost control/efficiency enhancement, which we expect should help the company deliver an improvement in ROE over the next 5-10 years. As China increasingly moves towards a market-based gas pricing mechanism, we expect China gas prices to rise and eventually converge with international LNG prices, which we believe will help ease PetroChina's cost burden. Amid the escalation of Middle East conflict, PetroChina stands to benefit from lower piped gas import costs (lagged 9 months vs oil), and considering we estimate it is sitting on one of the world's largest gas stockpiles, it might be able to strengthen 2026 gas domestic gas margins while also benefiting from higher oil prices.

Valuation

Our PT is based on SOTP: We use a DCF approach for PetroChina's upstream business and apply a 0.6x P/B to its refining, chems and marketing business. The natural gas division is valued at 1.2x P/B.

(Rmb bn)	Method	Multiple	Value (Rmb bn)	Value (Rmb/share)	Value (HK$/share)
E&P	NPV		1,920	10.5	9.1
Refining & Chemicals	P/B	0.6	296	1.6	1.4
Marketing	P/B	0.6	276	1.5	1.3
Natural gas & pipeline	P/B	1.2	307	1.7	1.5
Enterprise value			**2,799**	**15.3**	**13.3**
Minority interest, net debt & others				0.2	0.2
JPM Price Target	*A/H premium:*	35%		**15.5**	**13.5**

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) oil demand destruction due to high prices or interest rate hikes; 2) a delay in chemicals spreads recovery due to weak China macro or large capacity additions; and 3) a sharp rise in international gas/LNG prices due to geopolitics or unplanned outages, resulting in large gas import losses.

Key upside catalysts include: 1) an improvement in the China GDP/PMI outlook due to stimulus; 2) a hike in dividend payout ratio or announcement of a minimum DPS policy; and 3) stronger-than-expected oil prices due to geopolitics.

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J.P.Morgan

PetroChina - H: Summary of Financials

Income Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	**2,937,981**	**2,864,469**	**3,558,333**	**3,339,171**	**3,264,953**
COGS	(1,694,884)	(1,656,826)	(2,303,813)	(2,060,589)	(1,956,769)
Gross profit	**1,243,097**	**1,207,643**	**1,254,520**	**1,278,582**	**1,308,184**
SG&A	(59,749)	(55,935)	(57,613)	(59,341)	(61,122)
Adj. EBITDA	**477,163**	**467,366**	**512,565**	**534,898**	**562,720**
D&A	(243,209)	(248,125)	(246,186)	(258,089)	(264,975)
Adj. EBIT	**233,954**	**219,241**	**266,380**	**276,810**	**297,745**
Net Interest	(11,932)	(9,807)	(9,943)	(7,289)	(5,500)
Adj. PBT	**241,508**	**226,165**	**267,293**	**280,661**	**303,678**
Tax	(57,753)	(54,144)	(63,990)	(67,190)	(72,701)
Minority Interest	(19,071)	(14,703)	(17,377)	(18,246)	(19,742)
Adj. Net Income	**164,684**	**157,318**	**185,926**	**195,225**	**211,235**
Reported EPS	0.90	0.86	1.02	1.07	1.15
Adj. EPS	**0.90**	**0.86**	**1.02**	**1.07**	**1.15**
DPS	**0.47**	**0.47**	**0.56**	**0.59**	**0.63**
Payout ratio	52.2%	54.7%	55.0%	55.0%	55.0%
Shares outstanding	183,021	183,021	183,021	183,021	183,021

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	172,477	206,162	177,250	177,331	200,869
Accounts receivable	80,630	87,271	102,537	96,616	95,746
Inventories	168,338	150,553	218,988	194,773	183,836
Other current assets	169,399	151,311	188,177	179,072	175,988
Current assets	**590,844**	**595,297**	**686,951**	**647,792**	**656,438**
PP&E	1,570,810	1,610,487	1,643,701	1,662,927	1,667,135
LT investments	-	-	-	-	-
Other non current assets	591,097	621,993	632,305	642,873	653,703
Total assets	**2,752,751**	**2,827,777**	**2,962,958**	**2,953,591**	**2,977,276**
Short term borrowings	138,783	64,101	108,775	93,923	82,041
Payables	338,513	320,040	496,577	451,531	431,472
Other short term liabilities	60,245	50,923	50,923	50,923	50,923
Current liabilities	**537,541**	**435,064**	**656,276**	**596,377**	**564,436**
Long-term debt	98,072	163,462	130,770	104,616	83,693
Other long term liabilities	407,515	429,927	438,731	435,950	435,009
Total liabilities	**1,043,128**	**1,028,453**	**1,225,776**	**1,136,943**	**1,083,137**
Shareholders' equity	1,515,132	1,585,837	1,523,397	1,601,721	1,676,664
Minority interests	194,491	213,487	213,785	214,928	217,476
Total liabilities & equity	**2,752,751**	**2,827,777**	**2,962,958**	**2,953,591**	**2,977,276**
BVPS	**8.28**	**8.66**	**8.32**	**8.75**	**9.16**
y/y Growth	*4.8%*	*4.7%*	*(3.9%)*	*5.1%*	*4.7%*
Net debt/(cash)	64,378	21,401	62,295	21,207	(35,135)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**406,532**	**412,510**	**436,698**	**449,748**	**470,038**
o/w Depreciation & amortization	243,209	248,125	246,186	258,089	264,975
o/w Changes in working capital	(21,151)	(9,682)	13,087	(5,805)	(5,168)
Cash flow from investing activities	**(307,347)**	**(265,705)**	**(293,457)**	**(282,651)**	**(278,880)**
o/w Capital expenditure	(275,849)	(269,089)	(279,400)	(277,314)	(269,183)
as % of sales	*9.4%*	*9.4%*	*7.9%*	*8.3%*	*8.2%*
Cash flow from financing activities	**(178,876)**	**(111,335)**	**(172,153)**	**(167,016)**	**(167,620)**
o/w Dividends paid	(82,360)	(86,020)	(102,259)	(107,374)	(116,179)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	(56,888)	(6,679)	(51,258)	(41,006)	(32,805)
Net change in cash	**(76,524)**	**33,685**	**(28,912)**	**81**	**23,538**
Adj. Free cash flow to firm	**139,762**	**150,880**	**164,861**	**177,977**	**205,038**
y/y Growth	*(27.7%)*	*8.0%*	*9.3%*	*8.0%*	*15.2%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	42.3%	42.2%	35.3%	38.3%	40.1%
EBITDA margin	16.2%	16.3%	14.4%	16.0%	17.2%
EBIT margin	8.0%	7.7%	7.5%	8.3%	9.1%
Net profit margin	5.6%	5.5%	5.2%	5.8%	6.5%
ROE	11.1%	10.1%	12.0%	12.5%	12.9%
ROA	6.0%	5.6%	6.4%	6.6%	7.1%
ROCE	10.2%	9.4%	11.3%	11.8%	12.4%
SG&A/Sales	2.0%	2.0%	1.6%	1.8%	1.9%
Net debt/Equity	0.0	0.0	0.0	0.0	NM
Net debt/EBITDA	0.1	0.0	0.1	0.0	NM
Sales/Assets (x)	1.1	1.0	1.2	1.1	1.1
Assets/Equity (x)	1.9	1.8	1.9	1.9	1.8
Interest cover (x)	40.0	47.7	51.6	73.4	102.3
Operating leverage	26.5%	251.3%	88.8%	(63.6%)	(340.3%)
Tax rate	23.9%	23.9%	23.9%	23.9%	23.9%
Revenue y/y Growth	(2.4%)	(2.5%)	24.2%	(6.2%)	(2.2%)
EBITDA y/y Growth	(1.2%)	(2.1%)	9.7%	4.4%	5.2%
EPS y/y Growth	2.2%	(4.5%)	18.2%	5.0%	8.2%
Valuation	**FY24A**	**FY25A**	**FY26E**	**FY27E**	**FY28E**
P/E (x)	9.5	10.0	8.4	8.0	7.4
P/BV (x)	1.0	1.0	1.0	1.0	0.9
EV/EBITDA (x)	4.0	4.0	3.7	3.5	3.2
Dividend Yield	5.5%	5.5%	6.5%	6.8%	7.4%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

Overweight

601857.SS, 601857 CH
Price (29 Jul 26):Rmb10.89
Price Target (Dec-26):Rmb15.50

Head of Asia Energy & Chemicals | Asia EV Battery

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Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	34	32	30	25	26
Growth	91	83	90	74	25
Momentum	29	51	55	2	9
Quality	60	41	59	54	88
Low Vol	31	17	26	24	3
ESGQ	6	5	86	17	22

PetroChina - A

Model update

We make minor adjustments to our quarterly estimates. Our full-year estimates are broadly unchanged.

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

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Price Performance

	YTD	1m	3m	12m
Abs	4.6%	22.1%	-11.1%	24.9%
Rel	8.1%	28.1%	-4.3%	18.8%

Company Data

Shares O/S (mn)	183,021
52-week range (Rmb)	13.69-8.04
Market cap ($ mn)	294,402
Exchange rate	6.77
Free float (%)	4.7%
3M ADV (mn)	189.98
3M ADV ($ mn)	293.1
Volatility (90 Day)	34
Index	SHASHR
BBG ANR (Buy | Hold | Sell)	23|1|1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	2,864,469	3,558,333	3,339,171	3,264,953
Adj. EBITDA	467,366	512,565	534,898	562,720
Adj. EBIT	219,241	266,380	276,810	297,745
Adj. net income	157,318	185,926	195,225	211,235
Adj. EPS	0.86	1.02	1.07	1.15
BBG EPS	0.87	1.04	0.99	1.06
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FCFF	150,880	164,861	177,977	205,038
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Revenue Growth Y/Y (%)	(2.5%)	24.2%	(6.2%)	(2.2%)
EBITDA margin	16.3%	14.4%	16.0%	17.2%
EBITDA Growth Y/Y (%)	(2.1%)	9.7%	4.4%	5.2%
EBIT margin	7.7%	7.5%	8.3%	9.1%
Net margin	5.5%	5.2%	5.8%	6.5%
Adj. EPS growth	(4.5%)	18.2%	5.0%	8.2%
Ratios				
Adj. tax rate	23.9%	23.9%	23.9%	23.9%
Interest cover	47.7	51.6	73.4	102.3
Net debt/Equity	0.0	0.0	0.0	NM
Net debt/EBITDA	0.0	0.1	0.0	NM
ROCE	9.4%	11.3%	11.8%	12.4%
ROE	10.1%	12.0%	12.5%	12.9%
Valuation				
FCFF yield	7.6%	8.3%	8.9%	10.3%
Dividend yield	4.3%	5.1%	5.4%	5.8%
EV/Revenue	0.7	0.5	0.6	0.5
EV/EBITDA	4.0	3.7	3.5	3.2
Adj. P/E	12.7	10.7	10.2	9.4

Summary Investment Thesis and Valuation

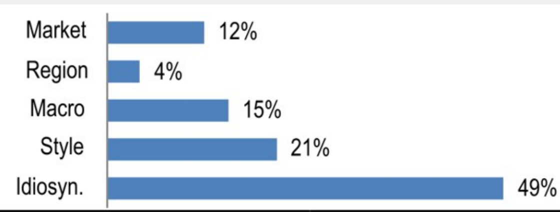
Investment Thesis

Over the past two decades, PetroChina's ROE has de-rated from ~20% in 2006-2008, to ~11% in 2023, despite a similar oil price environment. The ROE and share price de-rating has been driven by: 1) the introduction of unfavourable domestic tax policies, 2) a cap on domestic gas prices, resulting in large gas import losses, and 3) ineffective upstream cost control. However, PetroChina's new management team since 2020 has demonstrated a strong focus on shareholder returns and cost control/efficiency enhancement, which we expect should help the company deliver an improvement in ROE over the next 5-10 years. As China increasingly moves towards a market-based gas pricing mechanism, we expect China gas prices to rise and eventually converge with international LNG prices, which we believe will help ease PetroChina's cost burden. Amid the escalation of Middle East conflict, PetroChina stands to benefit from lower piped gas import costs (lagged 9 months vs oil), and considering we estimate it is sitting on one of the world's largest gas stockpiles, it might be able to strengthen 2026 gas domestic gas margins while also benefiting from higher oil prices.

Valuation

We use a SOTP method to derive our PT: we use DCF for PetroChina's upstream business, and a 0.6x P/B for its refining, chems and marketing business. The natural gas and pipeline division is valued at 1.2x P/B. We apply a 35% A/H premium (historical 1-year average) to derive our A-share PT.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.42	-0.35
Region: China	0.08	0.11
Macro:		
Citi Economic Surprise - EM	0.39	0.35
JPM Forecast Revision EM	-0.02	0.22
JPM China A-shares Sentiment	-0.30	-0.16
Quant Styles:		
Quality	0.47	0.43
Size	0.46	0.40
Value	0.34	0.30

Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

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Investment Thesis, Valuation and Risks

PetroChina - A *(Overweight; Price Target: Rmb15.50)*

Investment Thesis

Over the past two decades, PetroChina's ROE has de-rated from ~20% in 2006-2008, to ~11% in 2023, despite a similar oil price environment. The ROE and share price de-rating has been driven by: 1) the introduction of unfavourable domestic tax policies, 2) a cap on domestic gas prices, resulting in large gas import losses, and 3) ineffective upstream cost control. However, PetroChina's new management team since 2020 has demonstrated a strong focus on shareholder returns and cost control/efficiency enhancement, which we expect should help the company deliver an improvement in ROE over the next 5-10 years. As China increasingly moves towards a market-based gas pricing mechanism, we expect China gas prices to rise and eventually converge with international LNG prices, which we believe will help ease PetroChina's cost burden. Amid the escalation of Middle East conflict, PetroChina stands to benefit from lower piped gas import costs (lagged 9 months vs oil), and considering we estimate it is sitting on one of the world's largest gas stockpiles, it might be able to strengthen 2026 gas domestic gas margins while also benefiting from higher oil prices.

Valuation

Our PT is based on a SOTP valuation: We use a DCF approach for PetroChina's upstream business and apply a 0.6x P/B to its refining, chems and marketing business. The natural gas and pipeline division is valued at 1.2x P/B. We apply a 35% A/H premium (historical 1-year average) to derive our A-share PT.

(Rmb bn)	Method	Multiple	Value (Rmb bn)	Value (Rmb/share)	Value (HK$/share)
E&P	NPV		1,920	10.5	9.1
Refining & Chemicals	P/B	0.6	296	1.6	1.4
Marketing	P/B	0.6	276	1.5	1.3
Natural gas & pipeline	P/B	1.2	307	1.7	1.5
Enterprise value			**2,799**	**15.3**	**13.3**
Minority interest, net debt & others				0.2	0.2
JPM Price Target	*A/H premium:*	35%		**15.5**	**13.5**

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Key downside risks to our rating and price target include: 1) oil demand destruction due to high prices or interest rate hikes; 2) a delay in chemicals spreads recovery due to weak China macro or large capacity additions; and 3) a sharp rise in international gas/LNG prices due to geopolitics or unplanned outages, resulting in large gas import losses.

Key upside catalysts include: 1) an improvement in the China GDP/PMI outlook due to stimulus; 2) a hike in dividend payout ratio or announcement of a minimum DPS policy; and 3) stronger-than-expected oil prices due to geopolitics.

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PetroChina - A: Summary of Financials

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Revenue	**2,937,981**	**2,864,469**	**3,558,333**	**3,339,171**	**3,264,953**
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Gross profit	**1,243,097**	**1,207,643**	**1,254,520**	**1,278,582**	**1,308,184**
SG&A	(59,749)	(55,935)	(57,613)	(59,341)	(61,122)
Adj. EBITDA	**477,163**	**467,366**	**512,565**	**534,898**	**562,720**
D&A	(243,209)	(248,125)	(246,186)	(258,089)	(264,975)
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Net Interest	(11,932)	(9,807)	(9,943)	(7,289)	(5,500)
Adj. PBT	**241,508**	**226,165**	**267,293**	**280,661**	**303,678**
Tax	(57,753)	(54,144)	(63,990)	(67,190)	(72,701)
Minority Interest	(19,071)	(14,703)	(17,377)	(18,246)	(19,742)
Adj. Net Income	**164,684**	**157,318**	**185,926**	**195,225**	**211,235**
Reported EPS	0.90	0.86	1.02	1.07	1.15
Adj. EPS	**0.90**	**0.86**	**1.02**	**1.07**	**1.15**
DPS	**0.47**	**0.47**	**0.56**	**0.59**	**0.63**
Payout ratio	52.2%	54.7%	55.0%	55.0%	55.0%
Shares outstanding	183,021	183,021	183,021	183,021	183,021

Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	172,477	206,162	177,250	177,331	200,869
Accounts receivable	80,630	87,271	102,537	96,616	95,746
Inventories	168,338	150,553	218,988	194,773	183,836
Other current assets	169,399	151,311	188,177	179,072	175,988
Current assets	**590,844**	**595,297**	**686,951**	**647,792**	**656,438**
PP&E	1,570,810	1,610,487	1,643,701	1,662,927	1,667,135
LT investments	-	-	-	-	-
Other non current assets	591,097	621,993	632,305	642,873	653,703
Total assets	**2,752,751**	**2,827,777**	**2,962,958**	**2,953,591**	**2,977,276**
Short term borrowings	138,783	64,101	108,775	93,923	82,041
Payables	338,513	320,040	496,577	451,531	431,472
Other short term liabilities	60,245	50,923	50,923	50,923	50,923
Current liabilities	**537,541**	**435,064**	**656,276**	**596,377**	**564,436**
Long-term debt	98,072	163,462	130,770	104,616	83,693
Other long term liabilities	407,515	429,927	438,731	435,950	435,009
Total liabilities	**1,043,128**	**1,028,453**	**1,225,776**	**1,136,943**	**1,083,137**
Shareholders' equity	1,515,132	1,585,837	1,523,397	1,601,721	1,676,664
Minority interests	194,491	213,487	213,785	214,928	217,476
Total liabilities & equity	**2,752,751**	**2,827,777**	**2,962,958**	**2,953,591**	**2,977,276**
BVPS	**8.28**	**8.66**	**8.32**	**8.75**	**9.16**
y/y Growth	*4.8%*	*4.7%*	*(3.9%)*	*5.1%*	*4.7%*
Net debt/(cash)	64,378	21,401	62,295	21,207	(35,135)

Cash Flow Statement	FY24A	FY25A	FY26E	FY27E	FY28E
Cash flow from operating activities	**406,532**	**412,510**	**436,698**	**449,748**	**470,038**
o/w Depreciation & amortization	243,209	248,125	246,186	258,089	264,975
o/w Changes in working capital	(21,151)	(9,682)	13,087	(5,805)	(5,168)
Cash flow from investing activities	**(307,347)**	**(265,705)**	**(293,457)**	**(282,651)**	**(278,880)**
o/w Capital expenditure	(275,849)	(269,089)	(279,400)	(277,314)	(269,183)
as % of sales	*9.4%*	*9.4%*	*7.9%*	*8.3%*	*8.2%*
Cash flow from financing activities	**(178,876)**	**(111,335)**	**(172,153)**	**(167,016)**	**(167,620)**
o/w Dividends paid	(82,360)	(86,020)	(102,259)	(107,374)	(116,179)
o/w Shares issued/(repurchased)	0	0	0	0	0
o/w Net debt issued/(repaid)	(56,888)	(6,679)	(51,258)	(41,006)	(32,805)
Net change in cash	**(76,524)**	**33,685**	**(28,912)**	**81**	**23,538**
Adj. Free cash flow to firm	**139,762**	**150,880**	**164,861**	**177,977**	**205,038**
y/y Growth	*(27.7%)*	*8.0%*	*9.3%*	*8.0%*	*15.2%*

Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Gross margin	42.3%	42.2%	35.3%	38.3%	40.1%
EBITDA margin	16.2%	16.3%	14.4%	16.0%	17.2%
EBIT margin	8.0%	7.7%	7.5%	8.3%	9.1%
Net profit margin	5.6%	5.5%	5.2%	5.8%	6.5%
ROE	11.1%	10.1%	12.0%	12.5%	12.9%
ROA	6.0%	5.6%	6.4%	6.6%	7.1%
ROCE	10.2%	9.4%	11.3%	11.8%	12.4%
SG&A/Sales	2.0%	2.0%	1.6%	1.8%	1.9%
Net debt/Equity	0.0	0.0	0.0	0.0	NM
Net debt/EBITDA	0.1	0.0	0.1	0.0	NM
Sales/Assets (x)	1.1	1.0	1.2	1.1	1.1
Assets/Equity (x)	1.9	1.8	1.9	1.9	1.8
Interest cover (x)	40.0	47.7	51.6	73.4	102.3
Operating leverage	26.5%	251.3%	88.8%	(63.6%)	(340.3%)
Tax rate	23.9%	23.9%	23.9%	23.9%	23.9%
Revenue y/y Growth	(2.4%)	(2.5%)	24.2%	(6.2%)	(2.2%)
EBITDA y/y Growth	(1.2%)	(2.1%)	9.7%	4.4%	5.2%
EPS y/y Growth	2.2%	(4.5%)	18.2%	5.0%	8.2%

Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
P/E (x)	12.1	12.7	10.7	10.2	9.4
P/BV (x)	1.3	1.3	1.3	1.2	1.2
EV/EBITDA (x)	4.0	4.0	3.7	3.5	3.2
Dividend Yield	4.3%	4.3%	5.1%	5.4%	5.8%

Source: Company reports and J.P. Morgan estimates.
Note: Rmb in millions (except per-share data).Fiscal year ends Dec. o/w - out of which

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PetroChina - H (0857.HK, 857 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Feb 10, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
22-Sep-23	OW	5.77	7
28-Mar-24	OW	6.47	8
04-Jun-24	OW	8.04	10
01-Nov-24	OW	5.84	9
01-Apr-25	OW	6.29	7.5
15-Jun-25	OW	7.40	8
03-Nov-25	OW	8.02	9
09-Dec-25	OW	8.68	10
09-Mar-26	OW	10.40	13
01-May-26	OW	12.03	13.5

PetroChina - A (601857.SS, 601857 CH) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 03, 2014. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
22-Sep-23	OW	7.99	10
28-Mar-24	OW	9.17	11.5
04-Jun-24	OW	10.16	14
01-Nov-24	OW	8.10	13
01-Apr-25	OW	8.22	10.5
15-Jun-25	OW	8.99	11
03-Nov-25	OW	9.15	11.6
09-Dec-25	OW	9.85	13
09-Mar-26	OW	12.30	15.5

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